

manuals will state, for example, that in 1932 United States Steel Corporation earned its bond-interest “deficit 12.40 times” and that it showed a deficit of \$11.08 per share on its common stock. It should be recognized that such figures, when taken by themselves, *have no quantitative significance* and that their value in forming an *average* may often be open to serious question.

Let us assume that Company A lost \$5 per share of common in the last year and Company B lost \$7 per share. Both issues sell at 25. Is this an indication of any sort that Company A stock is preferable to Company B stock? Obviously not; for assuming it were so, it would mean that the more shares there were outstanding the more valuable each share would be. If Company B issues 2 shares for 1, the loss would be reduced to \$3.50 per share, and on the assumption just made, each new share would then be worth more than an old one. The same reasoning applies to bond interest. Suppose that Company A and Company B each lost \$1,000,000 in 1932. Company A has \$4,000,000 of 5% bonds and Company B has \$10,000,000 of 5% bonds. Company A would then show interest earned “deficit 5 times” and Company B would earn its interest “deficit 2 times.” These figures should not be construed as an indication of any kind that Company A’s bonds are less secure than Company B’s bonds. For, if so, it would mean that the smaller the bond issue the poorer its position—a manifest absurdity.

When an *average* is taken over a period that includes a number of deficits, some question must arise as to whether or not the resultant figure is really indicative of the *earning power*. For the wide variation in the individual figures must detract from the representative character of the average. This point is of considerable importance in view of the prevalence of deficits during the depression of the 1930s. In the case of most companies the average of the years since 1933 may now be thought more representative of indicated earning power than, say, a ten-year average 1930–1939.⁶

Intuition Not a Part of the Analyst’s Stock in Trade. In the absence of indications to the contrary we accept the past record as a basis for judging the future. But the analyst must be on the lookout for any such indica-

⁶ It is an open question whether or not either the ten-year period 1930–1939 or the six years 1934–1939 fairly reflect the future earning power of companies in the heavy industries, e.g., United States Steel, Bethlehem Steel, American Locomotive.